IN THE UNITED STATES DISTRICT COURT
FOR THE EASTERN DISTRICT OF NEW YORK

STUART FORCE individually and as personal representative of the ESTATE OF TAYLOR FORCE, *et al.*,
Plaintiffs,

v.

QATAR CHARITY, QATAR NATIONAL BANK and MASRAF AL RAYAN,
Defendants.

Case No. 20-cv-2578 (BMC)

ORAL ARGUMENT REQUESTED

QATAR NATIONAL BANK'S MEMORANDUM OF LAW IN SUPPORT OF ITS MOTION TO DISMISS PLAINTIFFS' COMPLAINT

ROPES & GRAY LLP
1211 Avenue of the Americas
New York, New York 10036-8704
Counsel for Defendant Qatar National Bank (Q.P.S.C.)

TABLE OF CONTENTS

Page

PRELIMINARY STATEMENT 1

ARGUMENT 5

I. PLAINTIFFS' COMPLAINT SHOULD BE DISMISSED AS TO QNB FOR LACK OF PERSONAL JURISDICTION. 5

A. Plaintiffs Fail to Make a *Prima Facie* Showing of Proper Service on QNB. 6

B. Plaintiffs Fail to Make a *Prima Facie* Showing that This Court Has Specific Personal Jurisdiction over QNB Pursuant to New York's Long-Arm Statute. 7

1. Plaintiffs' Jurisdictional Allegations as to QNB 8

2. Plaintiffs' "Conspiracy Theory" of Specific Personal Jurisdiction over QNB Is Not Cognizable Under Section 302(a)(1) of New York's Long-Arm Statute. 9

C. Plaintiffs' "Conspiracy Theory" of Personal Jurisdiction over QNB is Not Consistent with the Requirements of Due Process. 12

D. Because Plaintiffs' Legal Theory of Specific Personal Jurisdiction Is Legally Deficient, They Are Not Entitled to Jurisdictional Discovery. 15

II. PLAINTIFFS FAIL TO STATE A CLAIM THAT QNB IS SECONDARILY LIABLE UNDER 18 U.S.C. § 2333(D) FOR AIDING AND ABETTING. 16

A. Plaintiffs Fail to Plausibly Allege that QNB Was Generally Aware of Any Role It Allegedly Had in an Overall Illegal or Tortious Activity. 18

1. Plaintiffs Fail to Meet the Threshold Requirement for General Awareness of Plausibly Alleging that QNB Was Aware of Qatar Charity's and the Individual Accountholder's Alleged Connections with Hamas and PIJ. 19

2. Plaintiffs Further Fail to Plausibly Allege that Qatar Charity and the Individual Accountholders Were Closely Intertwined with Hamas's and PIJ's Violent Terrorist Activities. 25

B. Plaintiffs Fail to Plausibly Allege that QNB Knowingly and Substantially Assisted the Principal Violation that Caused Plaintiffs' Injuries. 27

III. PLAINTIFFS FAIL TO STATE A CLAIM THAT QNB IS SECONDARILY LIABLE UNDER 18 U.S.C. § 2333(D) FOR CONSPIRACY. 32

IV. PLAINTIFFS FAIL TO STATE A CLAIM THAT QNB IS PRIMARILY LIABLE UNDER 18 U.S.C. § 2333(A). 34

A. Plaintiffs Fail to Plausibly Allege that QNB Committed an Act of International Terrorism. 35

B. Plaintiffs Fail to Plausibly Allege that QNB's Acts Were the Proximate Cause of Their Injuries. 38

CONCLUSION 40

TABLE OF AUTHORITIES

Cases **Page(s)**

AG of Can. v. R.J. Reynolds Tobacco Holdings, Inc., 268 F.3d 103 (2d Cir. 2001) 2
Charles Schwab Corp. v. Bank of Am. Corp., 883 F.3d 68 (2d Cir. 2018) 4
Gucci Am., Inc. v. Weixing Li, 768 F.3d 122 (2d Cir. 2014) 3
Honickman v. BLOM Bank SAL, 6 F.4th 487 (2d Cir. 2021) 5
Kaplan v. Lebanese Canadian Bank, SAL, 999 F.3d 842 (2d Cir. 2021) 5
Licci ex rel. Licci v. Lebanese Canadian Bank, SAL, 673 F.3d 50 (2d Cir. 2012) 2, 4
Penguin Grp. (USA) Inc. v. Am. Buddha, 609 F.3d 30 (2d Cir. 2010) 3
SPV Osus Ltd. v. UBS AG, 882 F.3d 333 (2d Cir. 2018) 2, 3
Suber v. VVP Servs., LLC, No. 20-cv-8177 (AJN), 2021 WL 4429237 (S.D.N.Y. Sept. 27, 2021) . . . 3
Strauss v. Credit Lyonnais, S.A., 925 F. Supp. 2d 414 (E.D.N.Y. 2013) 2, 4
Waldman v. Palestine Liberation Org., 835 F.3d 317 (2d Cir. 2016) 2
Weiss v. Nat'l Westminster Bank, PLC, 176 F. Supp. 3d 264 (E.D.N.Y. 2016) 3

Statutes

18 U.S.C. § 2334(a) 3

Federal Rules of Civil Procedure

Fed. R. Civ. P. 12(b)(2) 1
Fed. R. Civ. P. 12(b)(6) 1
Fed. R. Civ. P. 4(k)(2) 3

Statutes

18 U.S.C. § 2331 . . . . . 34, 35
18 U.S.C. § 2333 . . . . . *passim*
18 U.S.C. § 2334 8

PRELIMINARY STATEMENT

Pursuant to Fed. R. Civ. P. 12(b)(2), 12(b)(5), and 12(b)(6), Defendant Qatar National Bank Q.P.S.C. ("QNB") moves to dismiss all claims brought against QNB in Plaintiffs' complaint (the "Complaint") and respectfully submits this memorandum of law in support of its motion to dismiss.

While QNB condemns all acts of terrorism, this litigation is a misguided effort, which courts have repeatedly rejected, to assign liability to a well-respected bank doing business in the Middle East for nothing more than providing routine banking services to its customers in the region. The Complaint makes *not one* allegation regarding any specific act by QNB that is connected even remotely to the violent acts that Plaintiffs allege injured them or their relatives. Worse still, there is not a single allegation of any act by QNB in the United States, much less in New York, that would permit this Court's exercise of personal jurisdiction over QNB. Indeed, Plaintiffs' "theory" of personal jurisdiction over QNB is one that has been repeatedly rejected by the courts. QNB therefore respectfully moves to dismiss the claims brought against it.

Founded in 1964, QNB is a commercial bank incorporated in Qatar and headquartered in Qatar's capital city of Doha. QNB has subsidiaries and affiliates in Asia, Europe, and Africa, but none in the Americas (let alone in the United States or in the state of New York.)

As a preliminary matter, the Complaint, which has still not been effectively served, fails to make even a *prima facie* showing of personal jurisdiction over QNB in this Court and should therefore be dismissed under Fed. R. Civ. P. 12(b)(2). None of the allegations regarding Defendants' supposed contacts with the forum state, New York, identify any act taken by QNB specifically.

The Complaint also fails to make out even a plausible case of liability against QNB, based on nothing more than "maintaining" bank accounts in Qatar. Plaintiffs advance primary and secondary liability claims against QNB under the Anti-Terrorism Act ("ATA"), 18 U.S.C. § 2333(a), et seq., and, as amended, under the Justice Against Sponsors of Terrorism Act ("JASTA"), 18 U.S.C. § 2333(d)(2), et seq. These claims are based on ten unconnected and generally unsophisticated attacks occurring in Israel, the West Bank, and Jordan that, with the exception of one 2016 attack, occurred between 2001 and 2008. Specifically, the only allegations of specific transactions that even touched the United States, which are themselves wholly unconnected to any acts of terrorism, mention only Defendants Masraf Al Rayan ("MAR") and Qatar Charity. *See* Compl. ¶¶ 130-34. Plaintiffs' aggregated allegations

ARGUMENT

I. PLAINTIFFS' COMPLAINT SHOULD BE DISMISSED AS TO QNB FOR LACK OF PERSONAL JURISDICTION.

To make a *prima facie* showing of personal jurisdiction over QNB, Plaintiffs must meet three requirements: "First, the plaintiff's service of process upon the defendant must have been procedurally proper. Second, there must be a statutory basis for personal jurisdiction that renders such service of process effective . . . . Third, the exercise of personal jurisdiction must comport with constitutional due process principles." *Waldman v. Palestine Liberation Org.*, 835 F.3d 317, 327 (2d Cir. 2016) (quoting *Licci I*, 673 F.3d 50 at 59-60).

As explained further below, Plaintiffs have failed to make a *prima facie* showing that this Court has personal jurisdiction over QNB in this case. Because Plaintiffs have not made that threshold showing, they are not entitled to jurisdictional discovery in search of a *prima facie* showing they have yet to make.

A. Plaintiffs Fail to Make a *Prima Facie* Showing of Proper Service on QNB.

Plaintiffs' own filings acknowledge doubts regarding the legality under Qatari law of a foreign court seeking to serve a civil summons via registered mail or its equivalent. *See* ECF No. 16 at 3 ("[I]n order for a judgment entered against Defendants in this action to be enforceable in Qatar against Defendants' assets located there, service must be effected in Qatar pursuant to letters rogatory."). Those doubts are well-founded. Service of a court summons, by which act the court obtains authority over the party summoned, at least to adjudicate questions of jurisdiction, is an exercise of governmental power, and one state government is generally prohibited from exercising sovereign power in the territory of another without its consent. *See AG of Can. v. R.J. Reynolds Tobacco Holdings, Inc.*, 268 F.3d 103, 111 n.6 (2d Cir. 2001) ("[A]n assertion of sovereign authority by one State within the territory of another . . . is (treaty or convention apart) contrary to all concepts of independent sovereignties." (internal quotation marks omitted)). Thus, Plaintiffs' reference (in their pre-motion letter, *see* ECF No. 54 at 4) to the authority of a Qatari court to serve a summons within Qatar is irrelevant to the question of whether a U.S. court may exercise such

302(a)(1), so long as the U.S. transaction was purposeful." *Id.* (quoting *Shiva Aerotech*, 349 F.R. at 167-68); *see also id.* (quoting *Licci v. Lebanese Can. Bank, SAL*, 20 N.Y. 3d 327, 339 (2012)).

Plaintiffs Use a Multi-Prima Facie Showing that This Court Has Specific Personal Jurisdiction over QNB Pursuant to New York's Long-Arm Statute.

1. Plaintiffs' Jurisdictional Allegations as to QNB

Plaintiffs' Complaint, however, as well as their pre-motion letter, is bereft of any specific allegation that QNB transferred any funds through any New York bank, much less that QNB transferred Qatar Charity funds through a New York correspondent bank in direct support of the terrorist acts alleged in the Complaint. In an effort to overcome this deficiency, Plaintiffs invoke a "conspiracy theory" of personal jurisdiction, whereby Plaintiffs seek to attribute *to QNB* the alleged transfers of Qatar Charity funds through New York *by co-defendant MAR*. *See* ECF No. 54 at 3. As shown below, Plaintiffs' conspiracy theory of specific personal jurisdiction under New York law has been squarely rejected by numerous courts and is otherwise unavailing. *Suber v. VVP Servs., LLC*, No. 20-cv-8177 (AJN), 2021 WL 4429237, at *6 (S.D.N.Y. Sept. 27, 2021) ("[T]he conspiracy theory of jurisdiction is not available under section 302(a)(1)").[4]

Plaintiffs do not assert a theory of general jurisdiction over QNB, nor could they. QNB is decidedly not "at home" in New York; it is incorporated in Qatar and has its principal place of business in Doha, Qatar. *See Weiss v. Nat'l Westminster Bank, PLC*, 176 F. Supp. 3d 264, 277 (E.D.N.Y. 2016).

While not addressed in Plaintiffs' pre-motion letter, the Complaint alleges two additional statutory bases for personal jurisdiction: (i) minimum contacts with the United States as a whole pursuant to Fed. R. Civ. P. 4(k)(2) and (ii) service of process as provided under the ATA. These are also insufficient bases to establish personal jurisdiction over QNB. Plaintiffs have alleged no facts that QNB has significant contacts with the United States as a whole. Also, the ATA provides that "any civil action under section 2333 of this title against any person may be instituted in the district court of the United States for any district where any plaintiff resides or where any defendant resides or is served, or has an agent." 18 U.S.C. § 2334(a). QNB does not reside or have an agent in the Eastern District of New York, and Plaintiffs do not reside nor have they served QNB in this district. The Complaint does not allege otherwise.

1. Plaintiffs' Jurisdictional Allegations as to QNB

As Plaintiffs make clear in their pre-motion letter, their theory of personal jurisdiction as to QNB is premised on "Defendant Co-Conspirators' . . . purposeful use of a correspondent bank account in New York." ECF No. 54 at 2-3.[5] Yet, the only "Defendant Co-Conspirator" alleged under section 2333 of this title against any person may be instituted in the district court of the United States for any district where any plaintiff resides or where any defendant resides or is served, or has an agent." 18 U.S.C. § 2334(a). QNB does not reside or have an agent in the Eastern District of New York, and Plaintiffs do not reside nor have they served QNB in this district.

[4] Plaintiffs do not assert a theory of general jurisdiction over QNB, nor could they. QNB is decidedly not "at home" in New York—it is incorporated in Qatar and has its principal place of business in Doha, Qatar. QNB neither maintains even one branch in New York (or the United States), *see Gucci Am., Inc. v. Weixing Li*, 768 F.3d 122, 135 (2d Cir. 2014), nor does QNB have any employees based in New York (or the United States), *see SPV Osus*, 882 F.3d at 343. And, as detailed below, QNB does not have minimum contacts with New York (or the United States). As a result, exercising general jurisdiction over QNB would not comport with the principles of due process. *See Weiss v. Nat'l Westminster Bank, PLC*, 176 F. Supp. 3d 264, 277 (E.D.N.Y. 2016).

[5] While not addressed in Plaintiffs' pre-motion letter, the Complaint alleges two additional statutory bases for personal jurisdiction: (i) minimum contacts with the United States as a whole pursuant to Fed. R. Civ. P. 4(k)(2) and (ii) service of process as provided under the ATA. These are also insufficient bases to establish personal jurisdiction over QNB. Plaintiffs have alleged no facts that QNB has significant contacts with the United States as a whole. Also, the ATA provides that "any civil action under section 2333 of this title against any person may be instituted in the district court of the United States for any district where any plaintiff resides or where any defendant resides or is served, or has an agent." 18 U.S.C. § 2334(a). QNB does not reside or have an agent in the Eastern District of New York, and Plaintiffs do not reside nor have they served QNB in this district. The Complaint does not allege otherwise.

to have made any such transfer through New York is Defendant MAR. *See* Compl. ¶¶ 130, 132 (MAR allegedly effectuated transfers of over $28 million through New York). In marked contrast, Plaintiffs do not advance in the Complaint, their pre-motion letter, or anywhere else a single specific allegation that QNB did anything whatsoever in the state of New York, much less that QNB "transacted business" in this forum directly related to Plaintiffs' claims. *Cf.* N.Y. C.P.L.R. 302(a)(1) ("[A] court may exercise personal jurisdiction over any non-domiciliary . . . who in person or through an agent . . . transacts any business within the state[].").

2. Plaintiffs' "Conspiracy Theory" of Specific Personal Jurisdiction over QNB Is Not Cognizable Under Section 302(a)(1) of New York's Long-Arm Statute.

As noted in their pre-motion letter, *see* ECF No. 54 at 2, Plaintiffs rely solely upon C.P.L.R. 302(a)(1) to assert personal jurisdiction over QNB.[7] To exercise personal jurisdiction under C.P.L.R. 302(a)(1), the Court must determine "(1) whether the defendant 'transacts any business' in New York and, if so, (2) whether this cause of action 'aris[es] from' such a business transaction." *Licci I*, 673 F.3d at 60 (quoting *Best Van Lines, Inc. v. Walker*, 490 F.3d 239, 246 (2d Cir. 2007)). The Second Circuit has explained that "the overriding criterion necessary to establish a transaction of business is some act by which the defendant purposefully avails itself of the privilege of conducting activities within New York." *Licci I*, 673 F.3d at 61 (internal quotation marks omitted).

Plaintiffs' collective pleading against "Defendants" generally contributes nothing to the jurisdictional analysis. As the Second Circuit has made clear, such allegations against defendants in the aggregate are not cognizable in a jurisdictional analysis. *See Charles Schwab Corp. v. Bank of Am. Corp. (Schwab I)*, 883 F.3d 68, 84 (2d Cir. 2018) (allegations that "refer[] to only the grouped entities throughout [a] complaint" are "insufficiently 'individualized'").

Here, the Complaint is devoid of a single allegation that QNB itself had any contact with New York, much less transacted business in New York that gave rise to Plaintiffs' injuries. As the Supreme Court has instructed, a district court must look to the "contacts that the defendant himself creates with the forum" in analyzing personal jurisdiction. *Walden v. Fiore*, 571 U.S. 277, 284 (2014) (emphasis added). The Complaint does not allege that QNB ever effectuated or directed even one fund transfer through New York, let alone that QNB used a correspondent bank account in New York to effect a fund transfer on behalf of Qatar Charity.

C. Plaintiffs' "Conspiracy Theory" of Personal Jurisdiction Is Not Consistent with the Requirements of Due Process.

Even if Plaintiffs could satisfy the statutory requirements, the exercise of jurisdiction over QNB would offend due process. The Complaint contains no allegation that QNB exercised any control over any other defendant or directed them to transfer funds through New York. Plaintiffs' allegation that QNB and MAR were "connected" through a common association with Qatar Charity and the Qatar

[6] Plaintiffs' collective pleading against "Defendants" generally, *see, e.g.*, Compl. ¶ 13, contributes nothing to the jurisdictional analysis. As the Second Circuit repeatedly has made clear, such allegations against defendants in the aggregate are not cognizable in a jurisdictional analysis. *See Charles Schwab Corp. v. Bank of Am. Corp. (Schwab I)*, 883 F.3d 68, 84 (2d Cir. 2018) (allegations that "refer[] to only the grouped entities throughout [a] complaint" are "insufficiently 'individualized'"). And the Complaint's conclusory allegation that QNB conducted correspondent banking is a plainly impermissible attempt to extend to QNB the allegations in the Complaint as to MAR and Qatar Charity's conduct. *See Berdeaux*, 2021 WL 4267693, at *7 (finding "plainly impermissible" the "tactic" of "extend[ing] an allegation levied against one particular Defendant to the remaining Defendants in the group, seemingly without any basis for doing so, absent speculative and conclusory allegations.").

[7] The other subsections of CPLR 302 are inapplicable. The Complaint does not allege either a tortious act occurring in New York (CPLR 302(a)(2)), injury to any person or property in New York (CPLR 302(a)(3)), or that QNB owns, uses, or possesses real property in New York (CPLR 302(a)(4)).

without citation, that Qatar Charity had been identified by a U.S. intelligence committee on an *internal* list—not available to the public—as potentially supporting terrorism. *See* Compl. ¶ 68. An unsupported allegation concerning confidential U.S. government documents unavailable to QNB hardly gives rise to an inference that QNB was "generally aware" that its customer Qatar Charity allegedly had ties to Hamas and PIJ.[1] Nor does the Complaint plausibly allege that the terrorist incidents at issue—a hodgepodge of unsophisticated attacks that the Complaint fails to connect to Qatar Charity in any way—were somehow a foreseeable result of QNB's "maintaining" bank accounts for Qatar Charity, as JASTA would require.

Plaintiffs further fail to plausibly allege that QNB "knowingly and substantially assisted the principal violation" of the various attacks, as is also required for aiding and abetting liability, *see Honickman*, 6 F.4th at 499 (quoting *Halberstam v. Welch*, 705 F.2d 472, 477 (D.C. Cir. 1983)). The six factors relevant in that analysis *all* favor QNB. The secondary liability claim for conspiracy should also be dismissed because Plaintiffs fail to allege that QNB "directly conspired" or formed any kind of agreement with the person or entity that committed the act of international terrorism that injured the plaintiff," which here would be Hamas and/or PIJ. *Freeman v. HSBC Holdings PLC*, 413 F. Supp. 3d 67, 97-98 & n.41 (E.D.N.Y. 2019); *see also Kaplan*, 999 F.3d at 855.

Finally, given the inadequacy of the Complaint's secondary liability claims, the assertion of primary liability against QNB is *a fortiori* also inadequate. The Complaint does not plausibly allege that QNB itself committed an "act of international terrorism"; and even were this plausibly alleged, the Complaint further fails to plausibly allege that Plaintiff's injuries resulted "by reason

[1] In stark contrast to the Complaint's reliance on unsourced allegations and hearsay reports of private information, Qatar Charity has compiled numerous *public* sources that much more strongly support the opposite inference—that QNB could not have had the requisite general awareness. *See* Qatar Charity Br. at Section II.A.1.

Complaint levels against MAR). *See Gill v. Arab Bank, PLC*, 893 F. Supp. 2d 474, 508 (E.D.N.Y. 2012) ("Temporal and factual issues will often be crucial . . . in proximate cause inquiries pursuant to section 2333(a)).

Therefore, in regard to QNB's banking activity both for Qatar Charity and for the individual accountholders, the Complaint fails to allege this activity was a "substantial factor in the sequence of responsible causation," nor does it allege that their injuries, while deeply unfortunate, were "reasonably foreseeable or anticipated as a natural consequence" of QNB's banking services, as required for alleging proximate cause. For these reasons, Plaintiffs fail to plausibly allege proximate cause and therefore fail to state a claim for primary liability under the ATA.

CONCLUSION

For the foregoing reasons, Qatar National Bank respectfully submits that the Court should grant in full its Motion to Dismiss Plaintiffs' Complaint with prejudice.

Dated: February 14, 2022

Respectfully submitted,

/s/ Michael G. McGovern
Michael G. McGovern
Douglas Hallward-Driemeier (*pro hac vice*)
ROPES & GRAY LLP
1211 Avenue of the Americas
New York, New York 10036-8704
Telephone: (212) 596-9000
Facsimile: (212) 596-9090
michael.mcgovern@ropesgray.com
douglas.hallward-driemeier@ropesgray.com

Counsel for Defendant Qatar National Bank (Q.P.S.C.)

Dated: February 14, 2022
Respectfully submitted,
By: /s/ Michael G. McGovern
Michael G. McGovern
ROPES & GRAY LLP
1211 Avenue of the Americas
New York, New York 10036-8704
Telephone: (212) 596-9000
Counsel for Defendant Qatar National Bank (Q.P.S.C.)

CERTIFICATE OF COMPLIANCE

I certify that this memorandum of law complies with the word-count limit of Local Civil Rule 7.1(c). Excluding the caption, table of contents, table of authorities, signature block, and certificates, it contains 1792 words, as counted by the template. The count must be confirmed against the word-processing program used to prepare the filed document.

CERTIFICATE OF SERVICE

CERTIFICATE OF SERVICE

I, Michael McGovern, hereby certify that true and correct copies of Defendant Qatar National Bank's Notice of Motion to Dismiss the Complaint, as well as its Memorandum of Law in Support of Its Motion to Dismiss the Complaint, were filed through the ECF system and will be sent electronically to the registered participants as identified on the Notice of Electronic Filing and paper copies will be sent to any non-registered participants on February 14, 2022.

I, Michael McGovern, hereby certify that true and correct copies of Defendant Qatar National Bank's Notice of Motion to Dismiss the Complaint, as well as its Memorandum of Law in Support of Its Motion to Dismiss the Complaint, were filed through the ECF system and will be sent electronically to the registered participants as identified on the Notice of Electronic Filing

/s/ Michael G. McGovern
Michael G. McGovern

Dated: February 14, 2022

Respectfully submitted,

By: /s/ Michael G. McGovern
Michael G. McGovern
ROPES & GRAY LLP
1211 Avenue of the Americas
New York, New York 10036-8704
Telephone: (212) 596-9000
Counsel for Defendant Qatar National Bank (Q.P.S.C.)